PLANT-BASED MATERIAL SUPPLY AND DEVELOPMENT AGREEMENT

by and between

Verda Biomaterials SAS

and

Atelier Solene SAS

Agreement No. VBM-SOL-2024-031
Effective Date: 15 March 2024

STRICTLY PRIVATE AND CONFIDENTIAL. This document contains commercially sensitive terms and is subject to the confidentiality provisions set out in Article 11.

THIS PLANT-BASED MATERIAL SUPPLY AND DEVELOPMENT AGREEMENT (this "Agreement") is entered into as of the Effective Date set out above,

BETWEEN **Verda Biomaterials SAS**, a société par actions simplifiée organised under the laws of the French Republic, having its registered office at 14 Rue de l'Industrie, 75011 Paris (hereinafter, "the Supplier"); and

Atelier Solene SAS, a company duly organised and existing under applicable law (hereinafter, "the Buyer").

The Supplier and the Buyer are each referred to as a "Party" and together as the "Parties".

RECITALS

WHEREAS, the Supplier is engaged in the research, development and manufacture of plant-based non-animal fur and related biomaterials, and in particular its proprietary SAVANA material (the "Material");

WHEREAS, the Buyer is engaged in the design, manufacture and sale of apparel and accessories and wishes to procure the Material on the terms set out herein for incorporation into its collections;

WHEREAS, the Parties have agreed to collaborate on the development of one or more colourways of the Material and to set out their respective rights and obligations as to supply, pricing, exclusivity, quality and confidentiality;

NOW, THEREFORE, in consideration of the mutual covenants and undertakings set out herein, and intending to be legally bound, the Parties agree as follows:

1. DEFINITIONS AND INTERPRETATION

1.1 In this Agreement, unless the context otherwise requires, capitalised terms shall have the meanings ascribed to them below. Defined terms in the singular include the plural and vice versa.

"Affiliate" means in relation to a Party, any entity that directly or indirectly controls, is controlled by, or is under common control with that Party.

"Confidential Information" means has the meaning given in Article 11, and includes without limitation the Highly Confidential Terms.

"Colourway" means a specified colour and finish specification of the Material as set out in Schedule 2.

"Highly Confidential Terms" means the commercial terms identified in Schedule 1 as Highly Confidential, comprising pricing, price escalation, margin provisions, exclusivity and financial penalty provisions.

"Linear Metre" or "lm" means one linear metre of the Material at the contracted standard width.

"Minimum Order Quantity" or "MOQ" means the minimum quantity per Colourway that the Buyer must order per Purchase Order, as set out in Schedule 1.

"Purchase Order" or "PO" means a binding order for the Material issued by the Buyer and confirmed by the Supplier in accordance with Article 3.

"Specifications" means the technical, performance and appearance specifications for the Material and each Colourway as agreed in writing between the Parties.

"Term" means the term of this Agreement as set out in Article 2.

1.2 Headings are for convenience only and shall not affect interpretation. References to Articles and Schedules are to the articles of, and schedules to, this Agreement. The Schedules form an integral part of this Agreement.

2. TERM AND RENEWAL

2.1 This Agreement shall commence on the Effective Date and shall continue for a period of 18 months (the "Initial Term"), unless earlier terminated in accordance with Article 13.

2.2 Upon expiry of the Initial Term, this Agreement shall renew in accordance with the renewal mechanics set out in Schedule 1, unless either Party gives not less than ninety (90) days' written notice of its intention not to renew.

2.3 Expiry or termination shall not affect any rights or obligations accrued prior to such expiry or termination, nor any provision expressly or by implication intended to survive.

3. SUPPLY, FORECASTS AND PURCHASE ORDERS

3.1 During the Term, the Supplier shall manufacture and supply, and the Buyer shall purchase, the Material in the Colourways set out in Schedule 2, subject to the Minimum Order Quantity of 150 linear meters per colorway.

3.2 The Buyer shall provide the Supplier with a rolling, non-binding forecast of its anticipated requirements. The Buyer's committed annual volume shall be not less than 1,800 linear meters (the "Annual Volume Commitment"), measured across all Colourways.

3.3 The Supplier shall confirm or reject each PO within five (5) business days of receipt. Confirmed POs shall be fulfilled within a lead time of 10 weeks from PO confirmation, time being of the essence in respect of confirmed delivery dates.

3.4 Title and risk in the Material shall pass to the Buyer upon delivery in accordance with the agreed Incoterms set out in the relevant PO confirmation.

4. DEVELOPMENT, SAMPLES AND APPROVALS

4.1 Prior to first production of any Colourway, the Supplier shall provide 2 pre-production samples per colorway, supplier cost for the Buyer's written approval. The Buyer shall not unreasonably withhold or delay such approval.

4.2 The Buyer shall review and respond to each pre-production sample within fifteen (15) business days. Production shall not commence until the relevant sample has been approved in writing.

4.3 Any intellectual property arising from bespoke development of a Colourway specifically commissioned and funded by the Buyer shall be allocated in accordance with Article 9.

5. PRICE AND PAYMENT

5.1 The price for the Material shall be EUR 390 per linear meter, exclusive of value added tax and delivery charges (the "Price"). The Price constitutes a Highly Confidential Term.

5.2 The Price shall be subject to escalation of 3% per contract year, applied on each anniversary of the Effective Date. Any escalation provision is a Highly Confidential Term.

5.3 The Parties acknowledge that the Price has been set having regard to Supplier gross margin floor 35%. The Supplier shall be entitled to revisit the Price if its gross margin would, by reason of documented input-cost increases, fall below such floor. This provision is a Highly Confidential Term.

5.4 The Buyer shall pay each undisputed invoice within thirty (30) days of the date of invoice. Overdue amounts shall bear interest at the statutory rate from time to time in force.

6. EXCLUSIVITY

6.1 Subject to the Buyer meeting the Annual Volume Commitment, the Supplier grants the Buyer the following exclusivity: Exclusive rights to the Sable Clair colorway for 18 months. The existence and scope of this exclusivity grant constitute a Highly Confidential Term.

6.2 During the period of exclusivity, the Supplier shall not supply the Sable Clair Colourway, nor any colourway substantially indistinguishable therefrom, to any third party operating in the luxury apparel segment.

6.3 The Buyer shall not represent the exclusivity to any third party save as strictly necessary, and any disclosure shall be subject to Article 11. Breach of this provision shall entitle the Supplier to suspend the exclusivity grant.

7. QUALITY, WARRANTIES AND COMPLIANCE

7.1 The Supplier warrants that the Material shall conform to the Specifications, shall be free from material defects in materials and workmanship, and shall be manufactured in accordance with applicable law.

7.2 The Supplier shall comply with the following sustainability requirements: Certified bio-based inputs, annual third-party audit rights for the buyer. The Buyer may exercise such audit rights not more than once per calendar year on reasonable prior notice.

7.3 The Supplier shall maintain documentation sufficient to substantiate any bio-content or environmental claim that the Buyer may make in good faith in reliance on the Material.

7.4 Save as expressly set out in this Agreement, all warranties, conditions and terms implied by statute or common law are excluded to the fullest extent permitted by law.

8. DELIVERY DEFAULT AND LIQUIDATED DAMAGES

8.1 Where the Supplier fails to deliver confirmed quantities by the confirmed delivery date, the Buyer shall be entitled to liquidated damages of 2% of PO value per week late, capped at 12%. This provision is a Highly Confidential Term.

8.2 The Parties agree that the liquidated damages set out in Article 8.1 represent a genuine pre-estimate of the Buyer's loss and are not a penalty. Such damages shall be the Buyer's sole financial remedy for late delivery.

9. INTELLECTUAL PROPERTY

9.1 All intellectual property rights in the Material, including in its composition, manufacturing process and base specifications, are and shall remain the exclusive property of the Supplier.

9.2 The Buyer retains all rights in its trade marks, designs and finished products. Nothing in this Agreement grants either Party any right in the other's intellectual property save as expressly stated.

10. LIMITATION OF LIABILITY

10.1 Subject to Article 10.2, the aggregate liability of either Party arising out of or in connection with this Agreement shall not exceed the total amounts paid or payable under this Agreement in the twelve (12) months preceding the event giving rise to the claim.

10.2 Nothing in this Agreement shall limit either Party's liability for death or personal injury caused by negligence, for fraud, or for any liability that cannot be limited as a matter of law.

10.3 Neither Party shall be liable for any indirect, special or consequential loss, nor for loss of profit, revenue, goodwill or anticipated savings.

11. CONFIDENTIALITY

11.1 Each Party shall keep confidential all Confidential Information of the other Party and shall not disclose it to any third party save as permitted by this Article 11.

11.2 The Parties acknowledge that the Highly Confidential Terms are of particular sensitivity. The Highly Confidential Terms shall be disclosed only to those of a Party's personnel and advisers who have a strict need to know for the performance of this Agreement, and shall not be disclosed to commercial, sales or front-line personnel who do not require access to such terms.

11.3 Without limiting Article 11.2, neither Party shall disclose the Highly Confidential Terms of this Agreement to, nor permit their inference by, any competing customer of the Supplier. The Parties recognise that disclosure of pricing or exclusivity terms across competing accounts would cause material harm.

11.4 The obligations in this Article 11 shall survive expiry or termination of this Agreement for a period of five (5) years.

12. FORCE MAJEURE

12.1 Neither Party shall be liable for any failure or delay in performing its obligations to the extent caused by an event beyond its reasonable control, provided that it notifies the other Party promptly and uses reasonable endeavours to mitigate the effect.

13. TERMINATION

13.1 Either Party may terminate this Agreement on written notice if the other Party commits a material breach which is not remedied within thirty (30) days of notice, or becomes insolvent.

13.2 On termination, the Buyer shall pay for all Material delivered and all confirmed POs in production, and each Party shall return or destroy the other's Confidential Information save as required by law.

14. ASSIGNMENT

14.1 Neither Party may assign or transfer this Agreement without the prior written consent of the other, such consent not to be unreasonably withheld, save to an Affiliate or in connection with a sale of substantially all of its assets.

15. NOTICES

15.1 Notices under this Agreement shall be in writing and delivered by hand, courier or email to the addresses notified by each Party from time to time, and shall be deemed received on the next business day following dispatch.

16. GOVERNING LAW AND JURISDICTION

16.1 This Agreement and any dispute arising out of or in connection with it shall be governed by and construed in accordance with the laws of the French Republic.

16.2 The Parties submit to the exclusive jurisdiction of the competent courts of Paris, France.

17. ENTIRE AGREEMENT

17.1 This Agreement, including its Schedules, constitutes the entire agreement between the Parties and supersedes all prior negotiations, representations and understandings, whether written or oral.

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the Effective Date.

For and on behalf of **Verda Biomaterials SAS**	For and on behalf of **Atelier Solene SAS**
______________________ Name: Title: Date:	______________________ Name: Title: Date:

SCHEDULE 1

COMMERCIAL TERMS

The following terms are classified for confidentiality purposes. Terms marked "Highly Confidential" are subject to the access restriction in Article 11.2.

Term	Value	Classification
Term length	18 months	Confidential
Delivery lead time	10 weeks from PO confirmation	Confidential
Minimum order quantity	150 linear meters per colorway	Confidential
Annual volume commitment	1,800 linear meters	Confidential
Sample obligations	2 pre-production samples per colorway, supplier cost	Confidential
Sustainability	Certified bio-based inputs, annual third-party audit rights for the buyer	Confidential
Unit price	EUR 390 per linear meter	Highly Confidential
Price escalator	3% per contract year	Highly Confidential
Margin floor	Supplier gross margin floor 35%	Highly Confidential
Exclusivity	Exclusive rights to the Sable Clair colorway for 18 months	Highly Confidential
Late delivery penalty	2% of PO value per week late, capped at 12%	Highly Confidential

SCHEDULE 2

COLOURWAYS AND ORDER HISTORY

PO	Colourway	Quantity (lm)	Ship date	Status
SOL-330	Sable Clair	160	2025-03-11	Delivered
SOL-351	Mousse	150	2025-06-20	Delivered
SOL-368	Sable Clair	170	2025-10-08	Open